

Regulator Circular 2026/04 — Strengthening Operational Resilience

Issued: 2026-03-15 · Effective: 2026-10-01 · Supersedes: 2024 Circular on Outsourcing

Section 1 — Scope

Applicable to all licensed entities under the regulator's purview, including subsidiaries and material outsourcing arrangements. Compliance attestation required by Group Risk Officer or equivalent.

Section 2 — Governance Obligations

2.1 — The Board must approve a Group Operational Resilience Framework no later than 2026-09-30.

2.2 — The framework must identify Important Business Services (IBS) using customer-impact, financial-stability, and market-conduct criteria.

2.3 — For each IBS, the entity must set Impact Tolerances stated in maximum tolerable disruption duration and maximum tolerable data loss.

Section 3 — Mapping & Testing

3.1 — Map each IBS end-to-end including people, processes, technology, facilities, and third parties.

3.2 — Conduct annual scenario testing using severe but plausible scenarios; report results to the Board within 60 days of test completion.

3.3 — Identify and remediate vulnerabilities preventing the entity from remaining within Impact Tolerances.

Section 4 — Third-Party Risk

4.1 — Material outsourcing must include contractual rights to audit, data residency clauses, exit / step-in provisions, and continuous service-level monitoring.

4.2 — Material technology service providers concentration: no single provider may support more than 40% of IBS by criticality weight unless mitigated.

Section 5 — Incident Reporting

5.1 — Notify the regulator within 4 hours of confirmed P1 operational incident affecting any IBS.

5.2 — Submit root-cause analysis within 30 calendar days. Customer redress plan within 60 days where customer impact occurred.

Section 6 — Attestation

6.1 — Group Risk Officer (or equivalent) must attest annually by 31 March that the Operational Resilience Framework is operating effectively.

6.2 — First attestation due: 2027-03-31 covering FY2026.

Section 7 — Penalties

Failure to comply may attract supervisory action up to MYR 25 million per breach and, in severe cases, restriction of licence. Individual director accountability under the Senior Manager Regime applies.

Annexes

Annex A — IBS taxonomy (15 service categories)

Annex B — Sample Impact Tolerance metrics

Annex C — Reporting templates (Form OR-01 to OR-05)